BEYOND INDUSTRY ANALYSIS

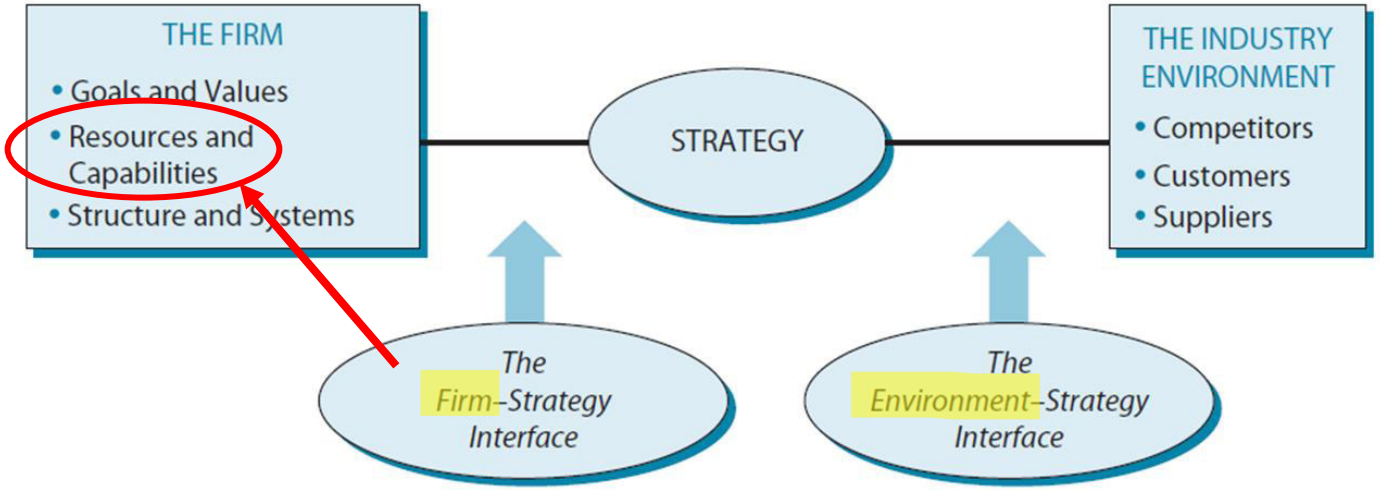
RESOURCES & CAPABILITIES

Session 7

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Focus of today's session



Firm-Strategy Interface:
Matching Firms' Core Resources & Capabilities) with opportunities that arise in external market.

Which Resources and Capabilities for competing in that position within the industry

Environment-Strategy Interface:
Position firm within industry structure seeking shelter from Competitive Forces.

My position within the Industry

Agenda for today

1. Why is interesting to study Resources & Capabilities.
2. Concept of Resources & Capabilities.
3. Identify firms Resources & Capabilities.
4. Strategic importance of Resources & Capabilities.
5. Strategic Implications of Resources and Capabilities.

Why is interesting to study Resources and Capabilities?

1. It is something **controllable by the firm**.

2. Resources and capabilities are the **primary sources of profitability**.

3. *When the industry environment is volatile*, internal resources and capabilities offer a more stable basis for strategy than an industry or market focus.

Business Model is made by the election of Resources and Capabilities

for giving a different Value Proposition

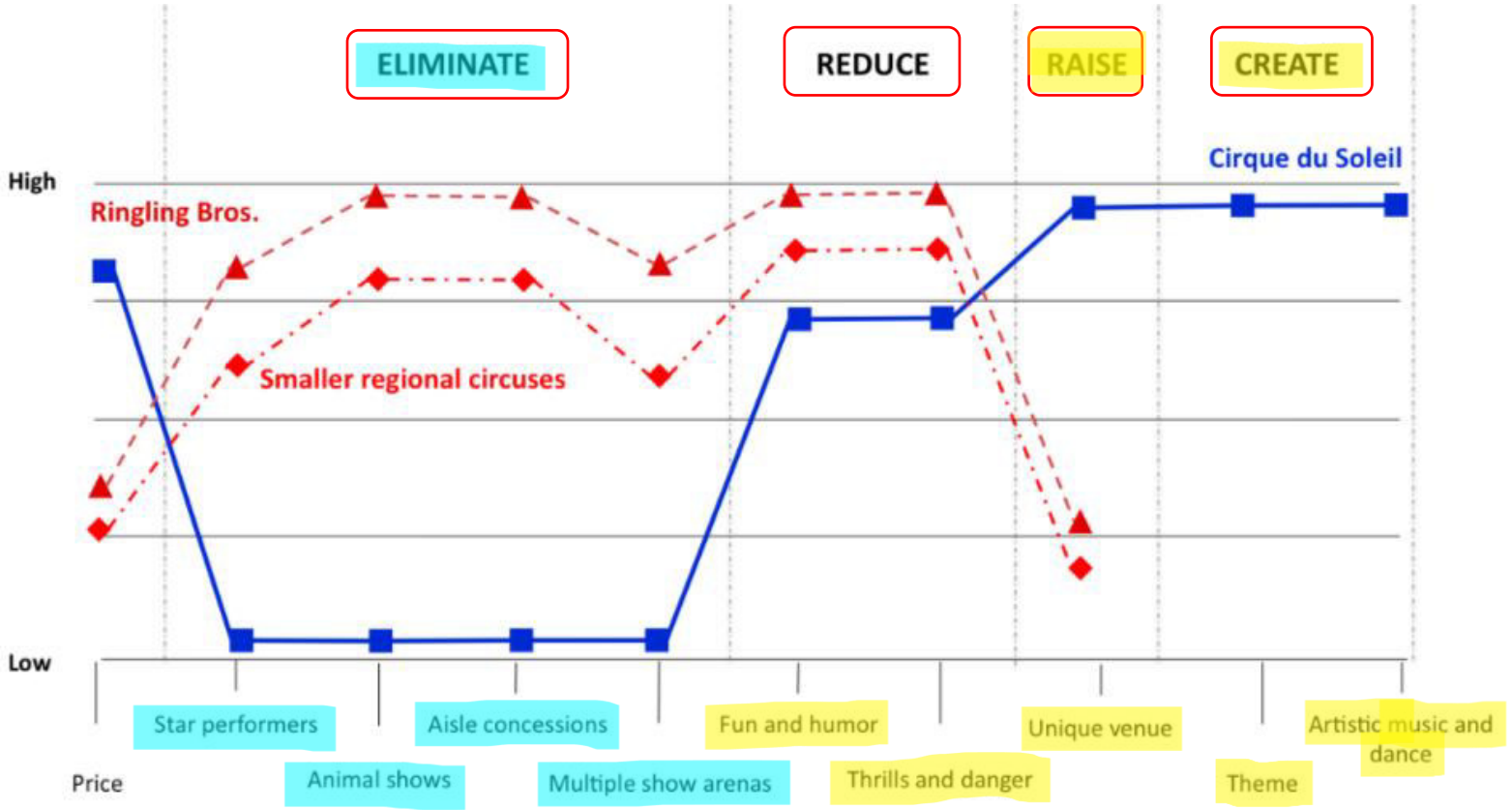
Red and Blue Oceans Strategies



Cirque du Soleil

Red and Blue Oceans

- Creating blue oceans: Eliminate – Reduce – Raise – Create



Industry analysis vs. Resource-based-view

- Industry analysis:
  - Assume that the industry structure is the main force driving profitability (SCP paradigm)
- Resource-based-view (RBV):
  - Resources are the main determinant of performance (and sustained competitive advantage)

Which of both views is right? RBV vs. Industry analysis

- *The greater the rate of change in a firm's external environment, the more likely it is that internal resources and capabilities rather than external market focus will provide a secure foundation for long-term strategy*

Why Apples is so strong in the industry



Which is apple´s core competences?





- Apple's ability (based on its resources and capabilities):
  - Combine hardware, software, ergonomics, and aesthetics
  - Create products with superior functionality, design, and ease of use

Resource-based-view Introduction

The role of resources and capabilities (3 mts.) https://www.youtube.com/watch?v=44YNN4Ft24I

udemy

Resources

- **Resources** = Productive assets owned or controlled by the firm

- Types of resources

RESOURCES		
TANGIBLE	INTANGIBLE	HUMAN
• Financial (cash, securities, borrowing capacity) • Physical (plant, equipment, land, mineral reserves)	• Technology (patents, copyrights, trade secrets) • Reputation (brands, relationships) • Culture	• Skills/know-how • Capacity for communication and collaboration • Motivation

Resource		Characteristics	Indicators
Tangible Resources	Financial	Borrowing capacity Internal funds generation	Debt/Equity ratio Credit rating Net cash flow
	Physical	Plant and equipment: Size, location, technology flexibility. Land and buildings Raw materials	Market value of fixed assets. Scale of plants Alternative uses for fixed assets
Intangible Resources	Technology	Patent, copyrights, know how, R&D facilities Technical and scientific employees	No. Of patents owned Royalty income R&D expenditure R&D staff
	Reputation	Brands. Customer loyalty, company reputation (with suppliers, customers, government)	Brand equity Customer retention Supplier loyalty
Human Resources		Training, experience, adaptability, commitment and loyalty of employees	Employee qualifications, Pay rates, turnover

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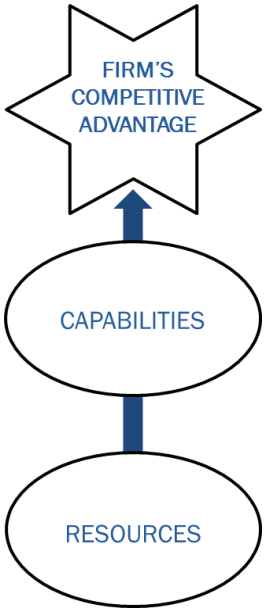
Capabilities

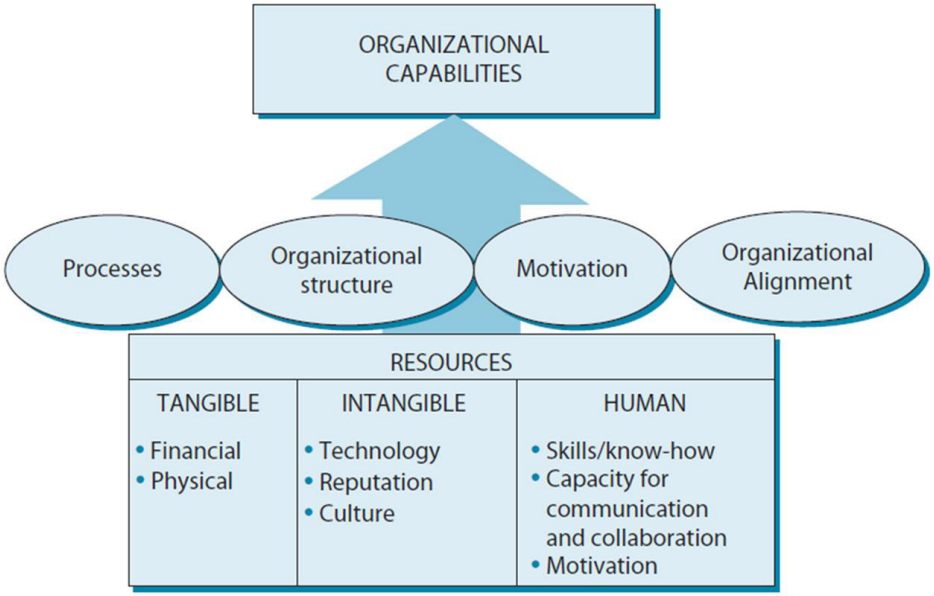
- Organizational capability = **a "*firm's capacity to deploy resources for a desired end result*"**

(in this course we use the terms capability and capacity interchangeably)

– A firm's ability to combine resources

– Developed through organizational routines & processes



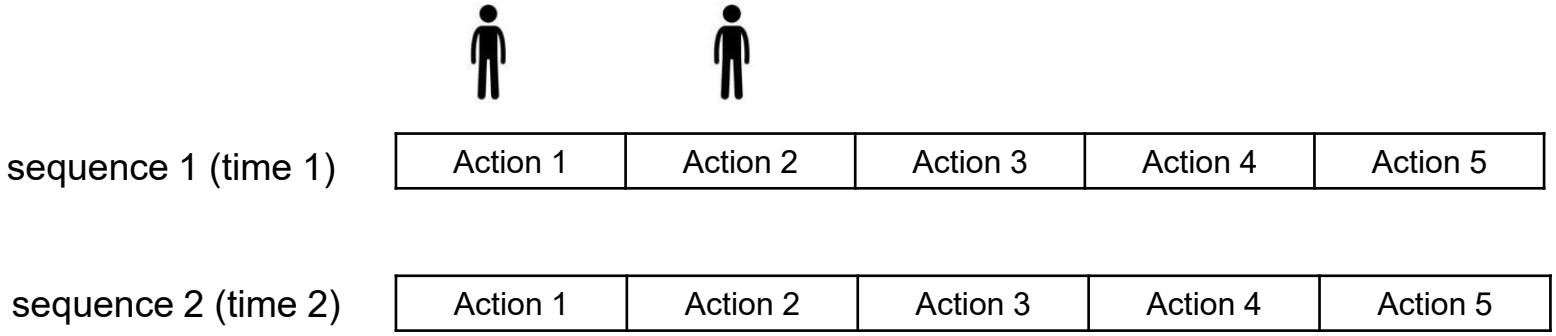


Routines and processes

A routine is used to perform a specific task and it can be a part of multiple processes.

E.g. The routine of packaging maybe part of the process of selling or post-selling.

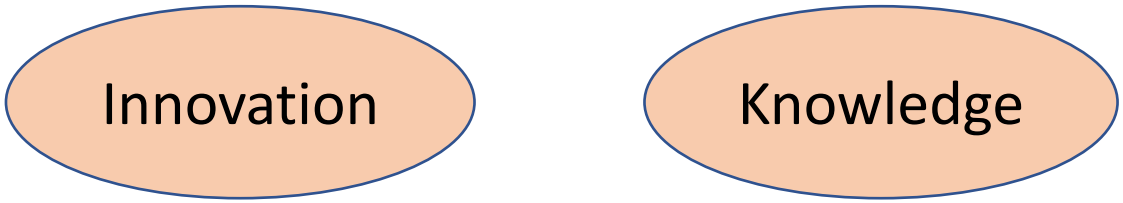
- Routines and processes integrate individual actions to create organizational capabilities
- Routines = Regular and repetitive patters of activity
- Processes = Coordinated sequences of actions through which specific activities are performed to add create value for the company and for the custom



Types of organizational capabilities (1/3)

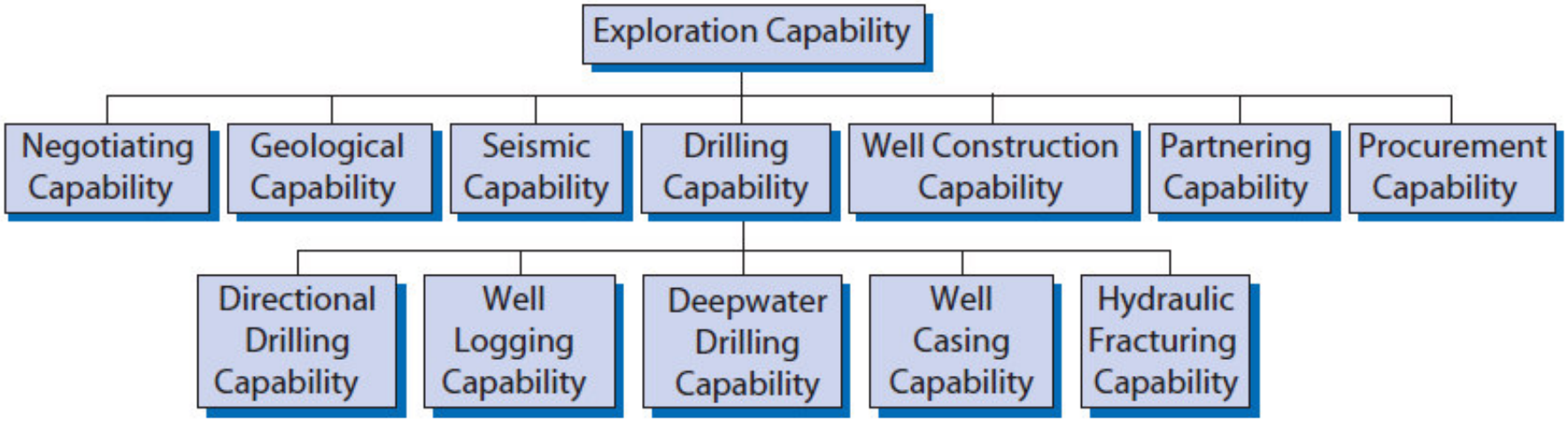
- **CORE COMPETENCES** = What a firm can do best → **CORE CAPABILITIES**
  - Organizational capabilities can be viewed as a hierarchical system:
    - High level capabilities constitute core capabilities
    - Low level (ordinary) capabilities are integrated to form higher level capabilities
- **DINAMIC CAPABILITIES** = The ability of the organization to configure its resources and capabilities in order to adapt to the changing environment.

Which are the main dynamic capabilities?



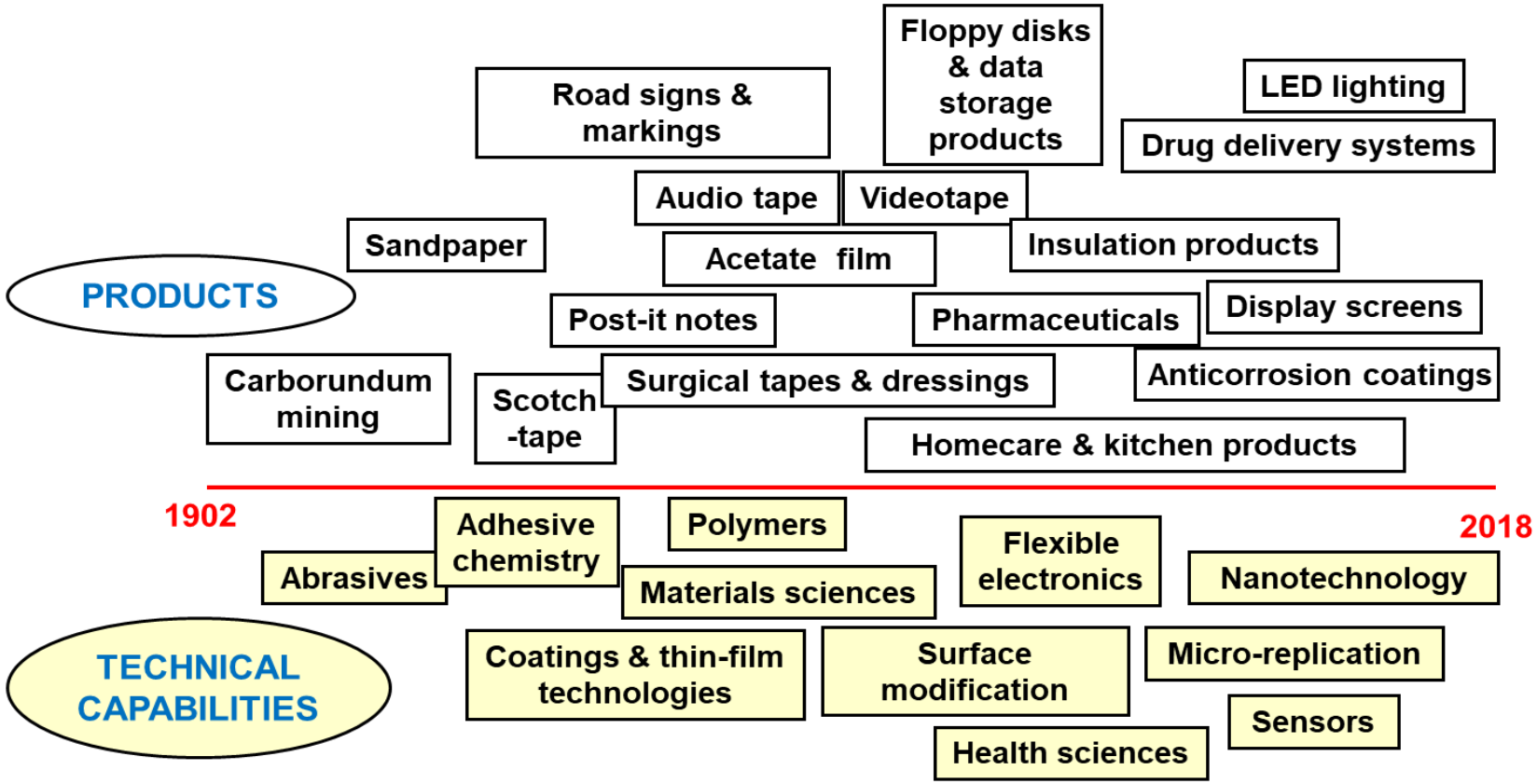
Example

- Oil and gas industry



Example

Evolution of Capabilities and Products: 3M



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Identify a firm's capabilities

1. **Functional analysis**
   - Area by area

2. **Key Success Factors (KSF)**
   - What resources & capabilities do we need to deliver these KSFs?

3. **Value chain analysis**
   - Sequential (Primary & Support activities)

1st. Identify a firm's capabilities
Functional Analysis

FUNCTIONAL AREA	CAPABILITY
CORPORATE FUNCTIONS	FINANCIAL CONTROL STRATEGIC MANAGEMENT OF MULTIPLE BUSINESSES STRATEGIC INNOVATION MULTIDIVISIONAL COORDINATION ACQUISITION MANAGEMENT INTERNATIONAL MANAGEMENT
MANAGEMENT INFORMATION	COMPREHENSIVE INTEGRATED MIS NETWORK LINKED TO MANAGERIAL DECISION MAKING
RESEARCH & DEVELOPMENT	RESEARCH INNOVATIVE NEW PRODUCT DEVELOPMENT FAST CYCLE NEW PRODUCT DEVELOPMENT
OPERATIONS	EFFICIENCY IN VOLUME MANUFACTURING CONTINUOUS IMPROVEMENT IN MANUFACTURING FLEXIBILITY AND SPEED OF RESPONSE
PRODUCT DESIGN	DESIGN CAPABILITY
MARKETING	BRAND MANAGENMENT PROMOTING REPUTATION FOR QUALITY RESPONSIVENESS TO MARKET TRENDS
SALES & DISTRIBUTION	EFFECTIVE SALES PROMOTIONS & EXECUTION EFFICIENCY & SPEED OF ORDER PROCESSING SPEED OFDISTRIBUTION QUALITY & EFFICIENCY OF CUSTOMER SERVICE

2nd Key Success Factors

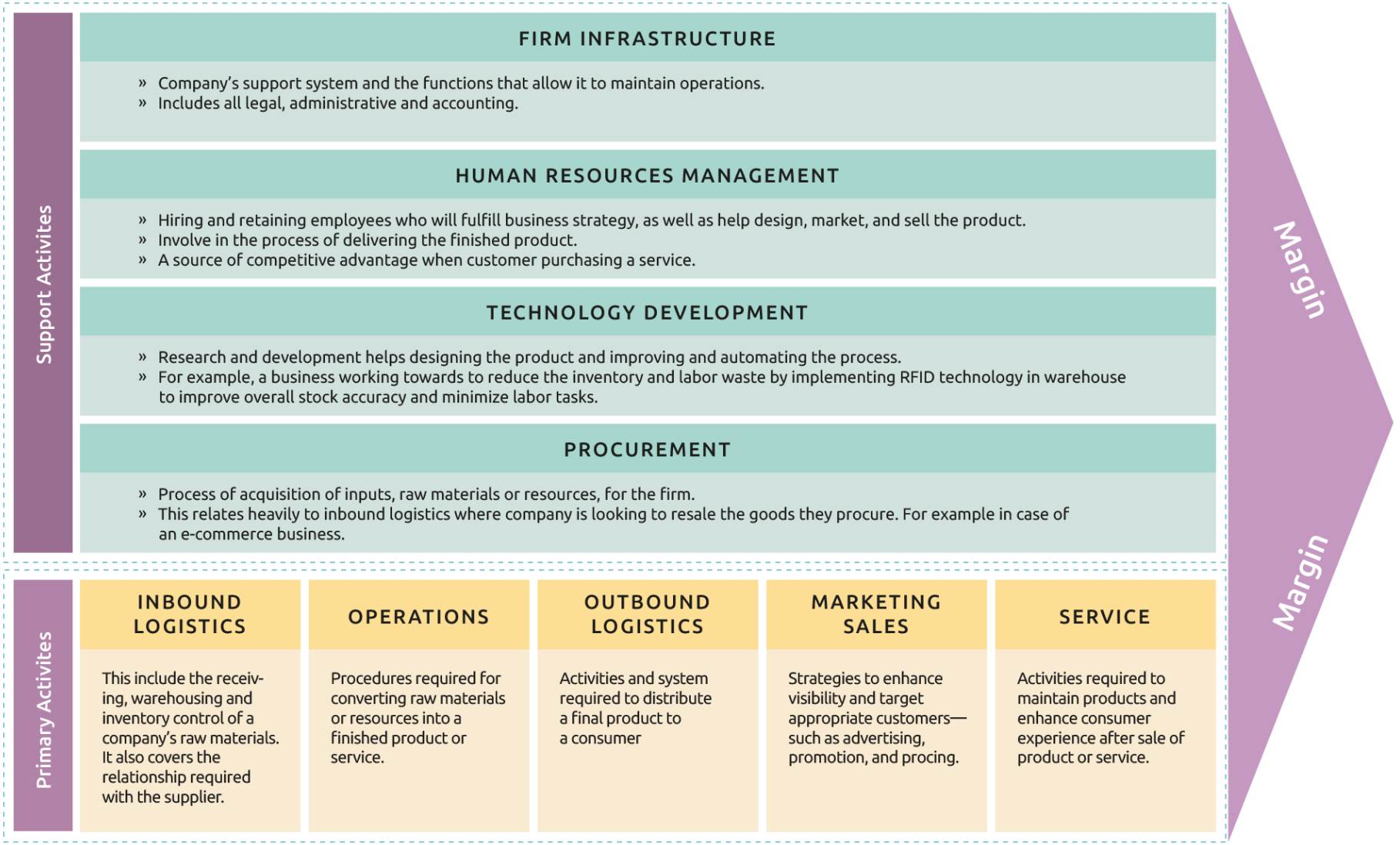
Starting from the outside

Key Success factors

- How do customers choose?
- What do we need to survive competition?

What resources & capabilities do we need to deliver these KSFs?

3rd Porter´s Value Chain Analysis - Starting from the inside



Evaluating the strategic importance of resources and capabilities

VRIO Framework (Barney, 1990) (*Barney approach*)

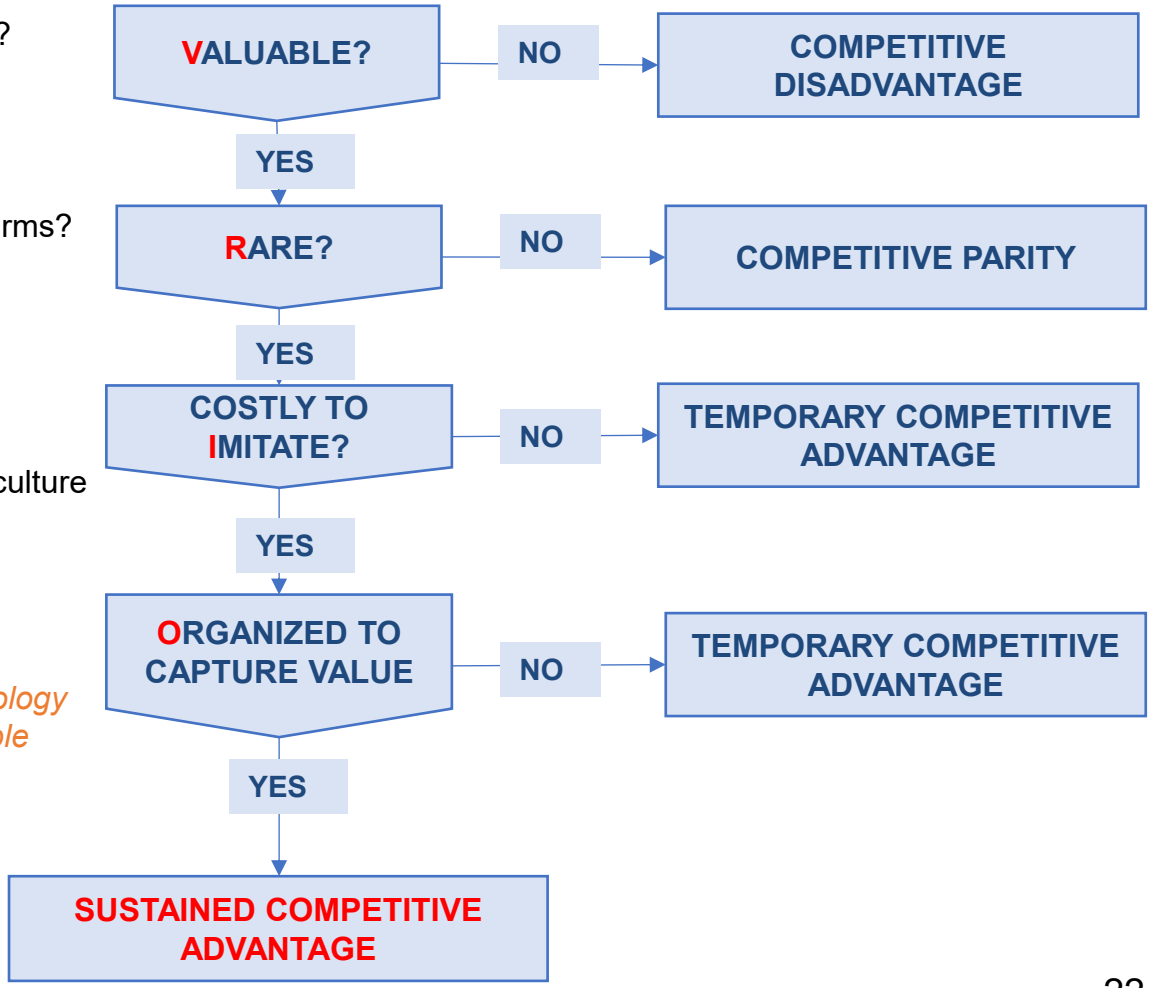
- Is the resource valuable to exploit opportunities?
- Increases the perceived customer value?
  Ex.: Iphone design

- Can resources only be acquired by one or few firms?
  Ex.: Apples´s Patents; Apple´s engineers

- Hard to imitate:
  - Developed over a long period of time?
  - Causal ambiguity
  - Social complexity, embedded in company culture

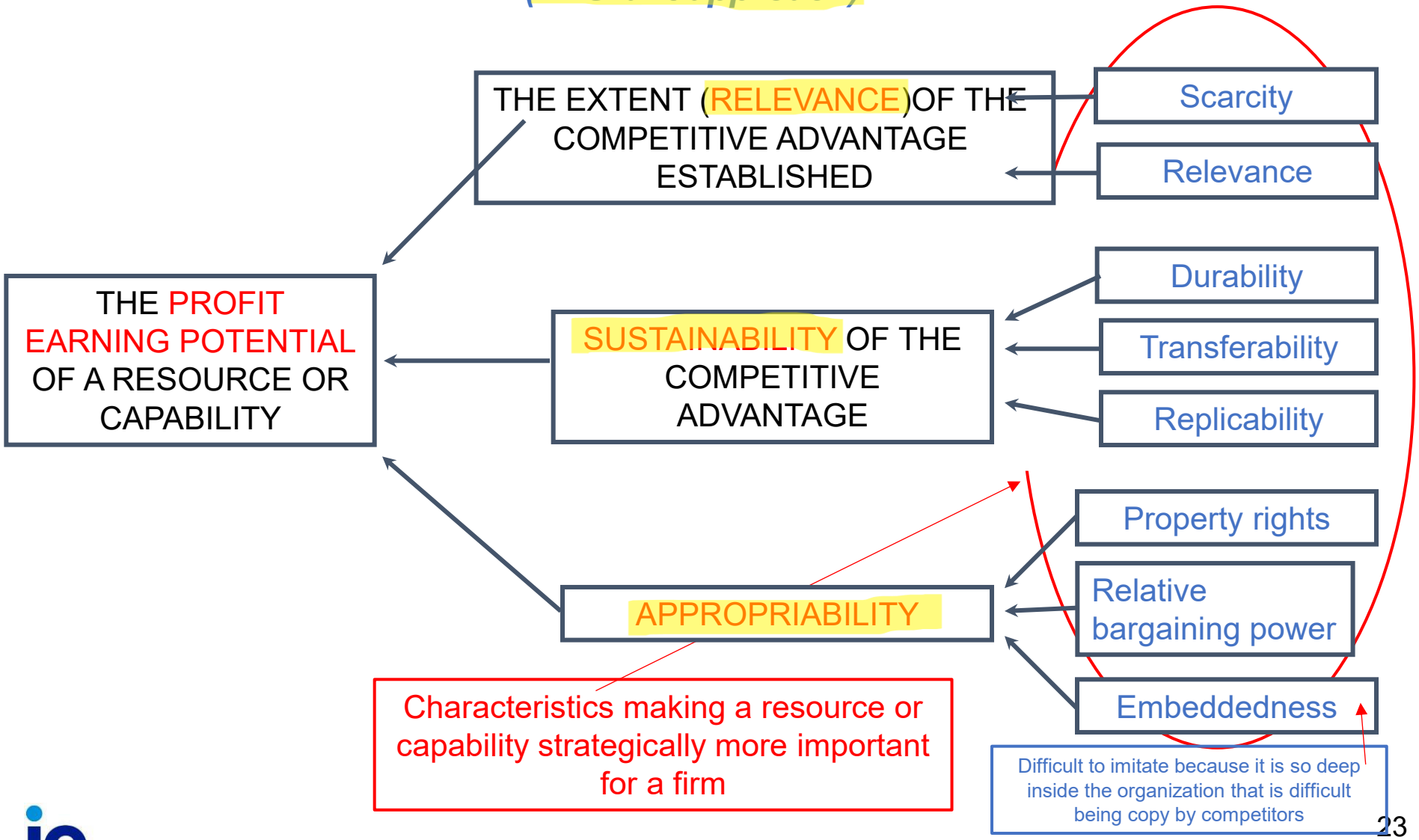
  Ex.: Hardware and Software Technology

- Management systems, processes, policies, organizational structure & culture
  Ex.: Create products with design and technology + marketing → Capture value for Apple

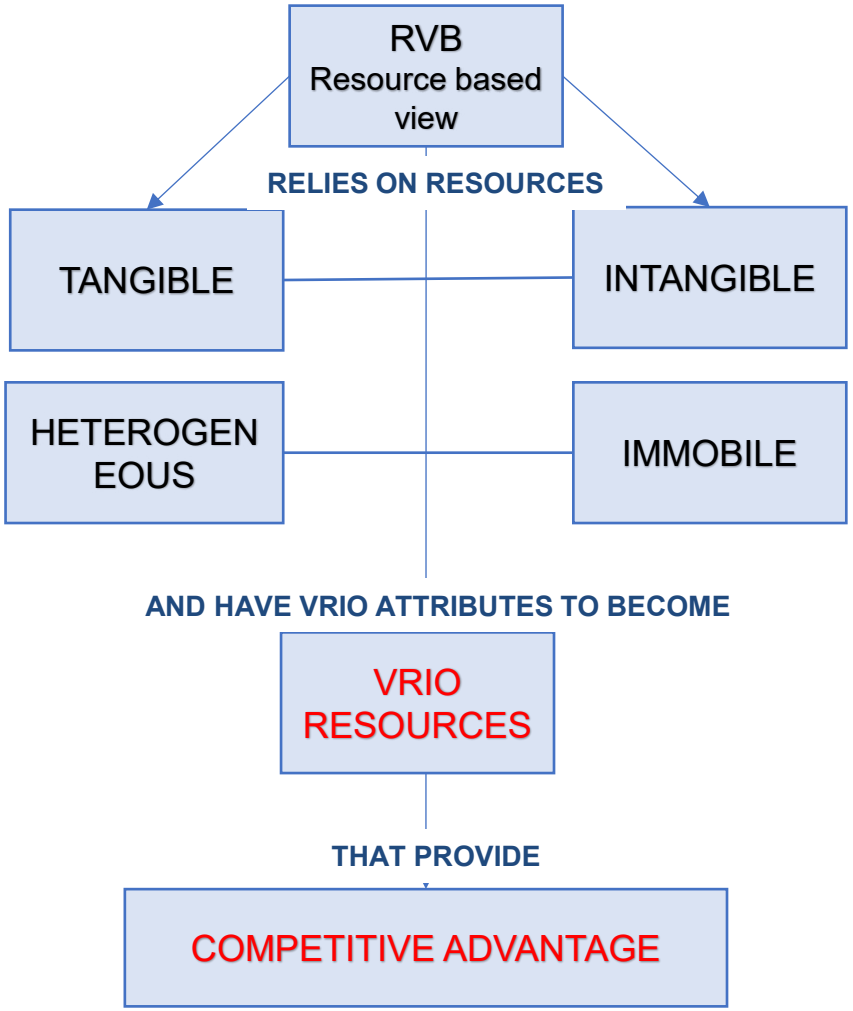


The strategic importance of Resources and Capabilities

(R. Grant approach)



Resource based view: Emerged in 1980 & 1990´s*



- **Tangible assets**: Can be bought in markets. Little advantage
  - *Physical assets such as land, buildings, equipment & capital*
- **Intangible assets**: Main source of sustainable competitive advantage
  - *Brand, reputation, trademarks, intellectual property*
- **Heterogeneous**: Firms own different group of resources
- **Immobile:** Some resources are immobile & don´t move from company to company (difficult to copy)
- Resources must have VRIO attributes to become VRIO resources and be a source of competitive advantage

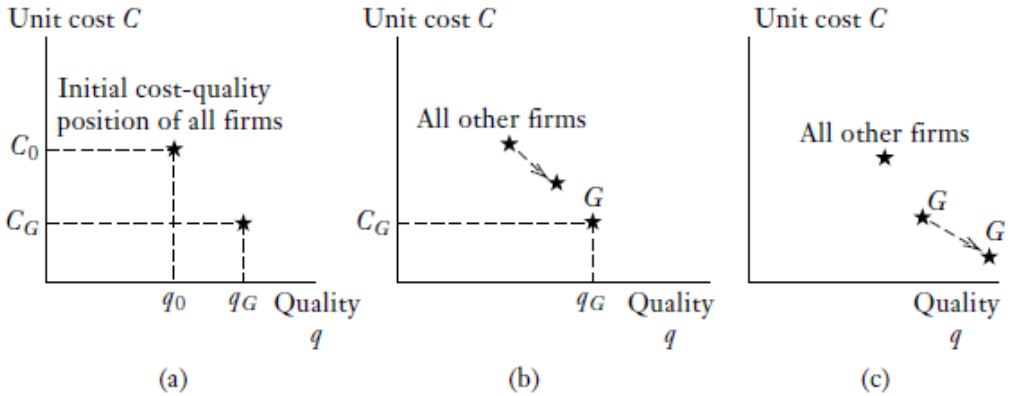
*Wernerfelt, B. (“The Resource-Based View of the Firm”), Prahalad and Hamel (“The Core Competence of The Corporation”), Barney, J. (“Firm resources and sustained competitive advantage”)

What makes it hard to imitate a resource or capability?

1. **Legal restrictions**
   1. Patents, copyrights, and trademarks
   2. Governmental control over licensing, certification, or quotas on operating right
2. **Superior access** to inputs or customers
   1. E.g. long-term exclusive contracts; brand loyalty
3. **Economies of scale** and **market size**

E.g. Amazon vs. online shop (Market size)

E.g. Lower unit cost (Economies of scale)



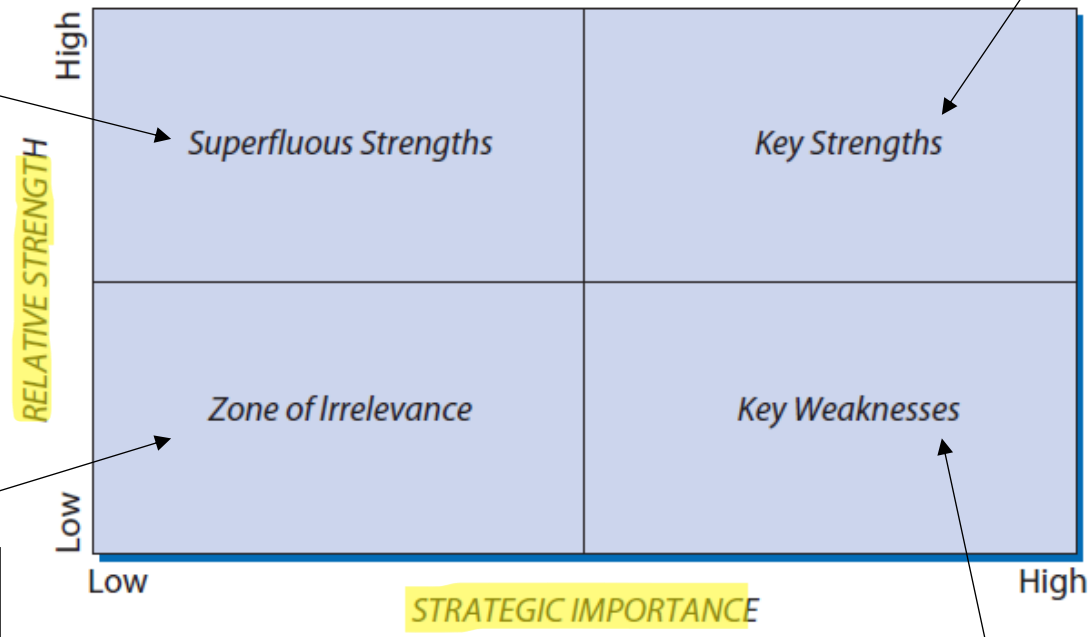
4. **Intangible barriers** to imitating a firm's distinctive capabilities: causal ambiguity, dependence on historical circumstances, and social complexity

E.g. Local pastry shop; or "Singers fan club" or Soccer team

Developing strategic implications

Exploit

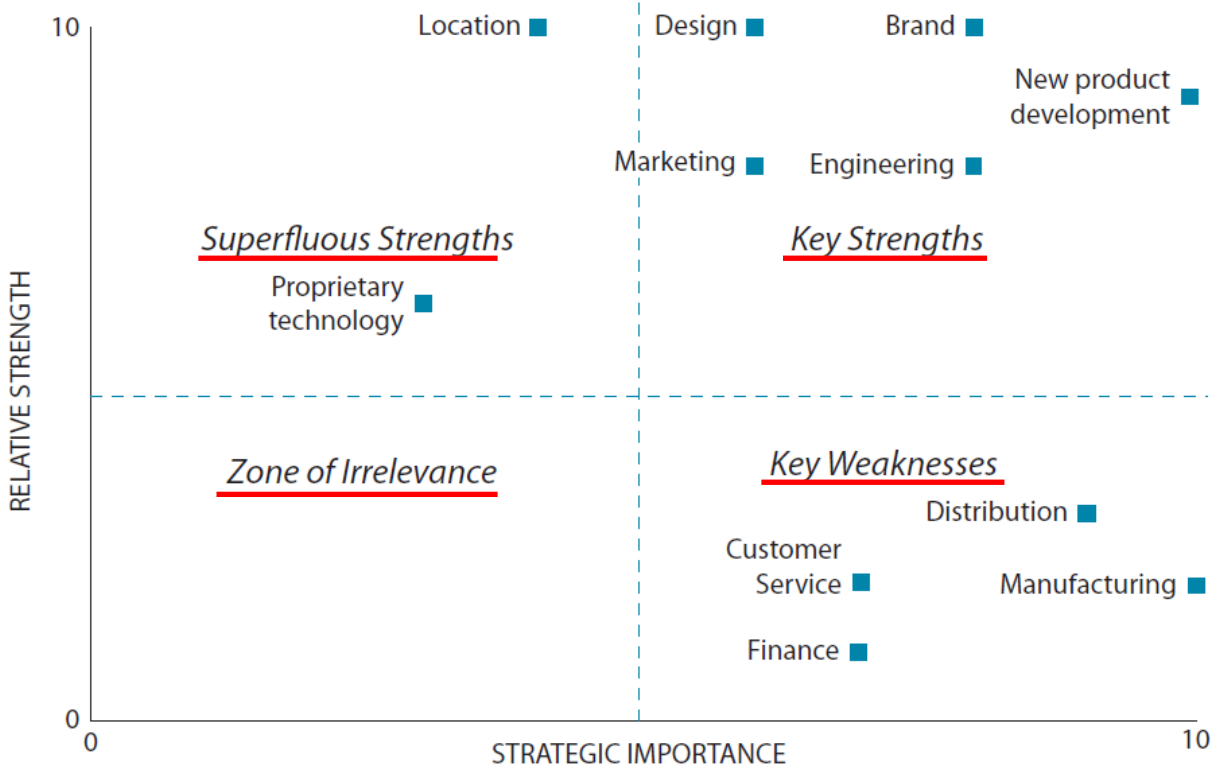
Get ride of it or turn into key strength

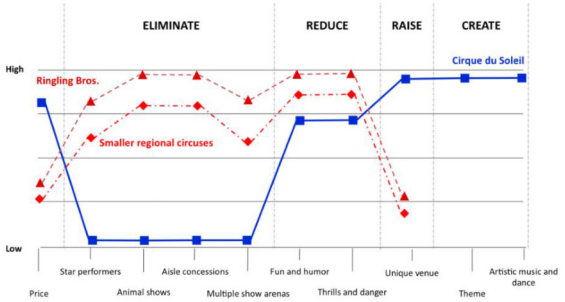


Benchmarking to identify relative strengths

Outsource activity or turn into a strength

Ducati Motor → Resources & Capabilities

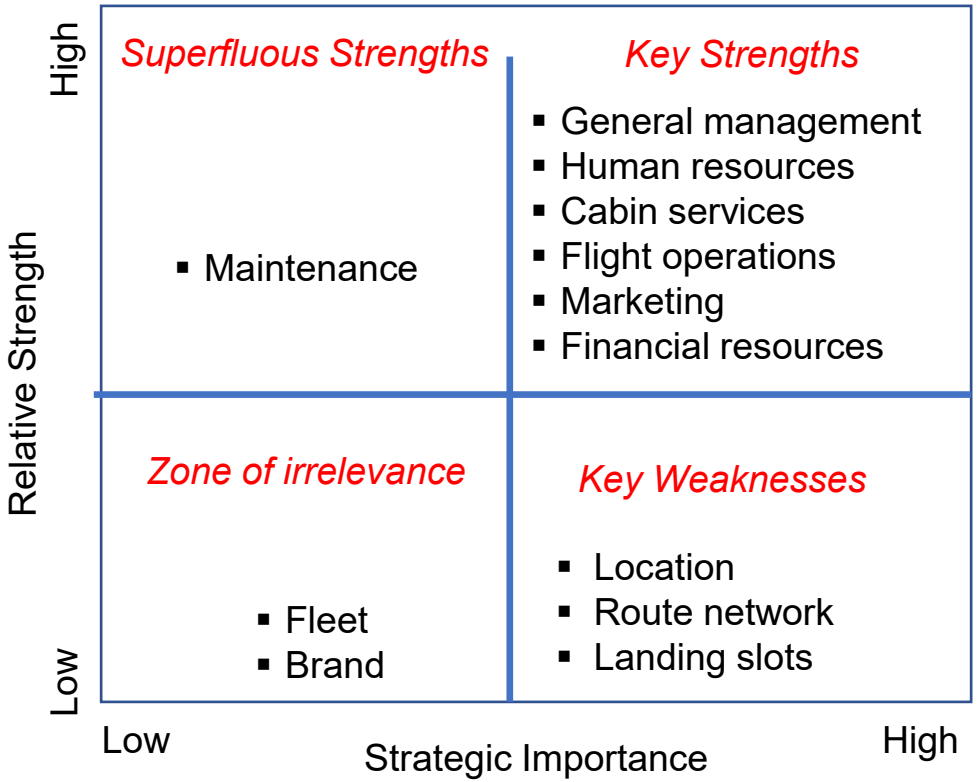




This strategic tools is quite similar to the Blue Ocean strategy Canvas
But without taking into consideration the strategic importance.

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Example: Iceland-AIR resource and capability profile



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STRATEGY:

- Iceland location means small domestic market and limited appeal as international hub.
- Hence, airline must utilize its operational, service, and HR strengths to offset these disadvantages.
- Core strategy:
  - Collaborate to develop Iceland as a year-round tourist destination
  - Develop vacation destinations for domestic customers
  - Use to low fares and superior customer experience to compete on North Atlantic routes
  - Use general management strengths for flexible responses to emerging opportunities, e.g. new routes

CONCLUSION

3. Develop strategy implications:
   (a) How can *strengths* be exploited most effectively?
   (b) In relation to *weaknesses*:
   –Which activities can be outsourced?
   – Can a strategy that minimizes the impact of weaknesses be selected?
   – Can resources/capabilities be strengthened by investment?

How to exploit strengths?

Outsourced?

STRATEGY

Can we minimize the impact of weaknesses?

If we invest, is going to get better?

2. Appraise the firm's resources and capabilities in terms of:
   (a) strategic importance
   (b) relative strength



POTENTIAL FOR SUSTAINABLE COMPETITIVE ADVANTAGE

CAPABILITIES

1. Identify the firm's resources and capabilities

RESOURCES

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Assignment for next session:

- Please read the case about **HARLEY-DAVIDSON** in the Grant Textbook

1. How did Harley Davidson perform over the last decades?
2. Where is competing?
   - Which categories? Which geographic segments? Which other segments can you think about?
3. How is competing?
   - HD ways of differentiation
   - HD Key success factors
4. Which are the main resources and capabilities for HD.
5. Try to map the capabilities and suggest competitive strengths and weaknesses.
6. Are Resources and Capabilities sustainable over time (VRIO analysis)
7. Potential threats and opportunities for Harley Davidson might face.

COMPLEMENTARY DOCUMENTATION

BMW vs Mercedes VRIO analysis. (9 mts.)
https://www.youtube.com/watch?v=-lrD9UJAd1Y

Tesla competitive advantage (2020) : Why Tesla and Apple are so very similar (12 mts)
https://www.youtube.com/watch?v=aw628QSEl8k

Thanks a lot!

Any questions?

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